Federal reserve

The Federal Reserve System was established as the US Central Bank by Congress on December 13, 1913. Signed into law by President Woodrow Wilson, the Federal Reserve Act was the response to a period of financial instability and panic.

The Fed and the US economy

The Federal Reserve Act produced a decentralized bank that could also handle the competing interests of popular sentiment and financial institutions and banks.

The Federal Reserve Bank (the Fed) uses policy to subtly impact economic conditions. In 1929, the market crashed and the US plunged into what would be known as the Great Depression. During the next few years, 10,000 banks failed. The Fed was criticized for not taking action to avert the crash.

This event led to Congress passing the Glass-Steagall Act in 1933. This law requires a separation of commercial banks and investment banks. It also required that government securities would be used as collateral for Federal Reserve notes. The Glass-Steagall Act also created the Federal Deposit Insurance Corporation (FDIC), which insures bank deposits up to a certain amount. In 2106, that amount is $250,000 per single account. For joint accounts, it's $250,000 for each owner.

Another major piece of legislation is the Full Employment and Balanced Growth Act, which is often referred to as the Humphrey-Hawkins Full Employment Act. It was signed by President Jimmy Carter on October 27, 1978. Part of this legislation mandates that the Fed must pursue a monetary policy that encourages long-term growth and controls inflation. If this is done well, it promotes maximum employment and stable prices.

Role of the Fed

The Fed has four primary roles: regulating banks and financial institutions, using monetary policy to prevent an unstable economy and unstable financial markets, using policy to influence the credit environment, employment numbers, and price and money, and providing the US government with certain financial services.

Interest rates

The Fed also has another important role. It sets what's called the federal funds rate and the discount rate. The federal funds rate is the rate in which banks can lend money to each other overnight. The Fed can affect this rate by lowering the the discount rate, or the interest rate charged by the Fed, below the federal funds rate. This makes banks want to borrow from the Fed as opposed to other banks due to the lower rate. Thus, it puts pressure on banks to lower their overnight rates.

The law requires banks to also have a reserve amount at all times. Since the banks don't earn interest on their own reserves, they like to lend the money to other banks and earn some interest.

The current interest rate set by the Fed for banks to borrow money from each other is 0.50 percent. If the Fed decides to increase the rate, it's passed on to consumers and it makes borrowing money more expensive. If the Fed lowers the rate, it makes borrowing less expensive and so more consumers borrow money.

The prime rate, which is of interest to consumers, is published by *The Wall Street Journal* every day. This rate is the index used by credit card companies, for instance, to set APRs for their credit card products. It's also the benchmark for loan companies, lines of credit, home equity loans, and more. Changes in the federal funds rate impact the prime rate.

The current prime rate is 3.50. A credit card issuer will use 3.5 percent as the base rate and add a range to